

Procurement Process SOP

Standard Operating Procedure for Purchasing, Vendor Management & Approvals

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1. Purpose and Scope

This SOP governs all procurement activity at TechCorp India, covering the request, approval, purchase, and vendor management lifecycle for goods and services purchased on company account. It applies to all employees, department heads, and the Procurement team across all TechCorp India offices, and to all spend categories defined in Section 2, regardless of funding source (OPEX or CapEx budget).

The objective of this SOP is to ensure procurement spend is appropriately authorized, vendors are properly vetted, and purchases are traceable for audit and statutory compliance (GST input credit, TDS deduction, and internal financial controls).

2. Procurement Categories

Category	Examples	Primary Owner
IT	Laptops, servers, software licenses, SaaS subscriptions, networking hardware, cloud infrastructure, developer tooling.	IT Asset Management + Procurement
Services	Consulting, staffing augmentation, training programs, AMC/support contracts, professional/legal/audit services.	Requesting Department + Procurement
Office & Admin	Stationery, pantry supplies, furniture, housekeeping contracts, courier and courier-related supplies, office equipment under Rs. 50,000.	Admin & Facilities + Procurement
CapEx	Capital expenditure: office infrastructure, large equipment purchases, leasehold improvements, any single purchase ≥ Rs. 2,00,000 classified as a fixed asset.	Finance + Procurement + VP/CFO

3. Approval Thresholds

Approval authority is tiered by purchase value. Thresholds apply per single purchase order (POs cannot be split into smaller orders to circumvent approval limits — see Section 9). For purchases denominated in USD (typically SaaS subscriptions and overseas vendors), a separate threshold applies as shown below.

Approval Level	INR Threshold	USD Threshold	Typical Use Case
Employee (Self-Approval)	Up to Rs. 5,000	—	Routine, pre-approved consumables only (e.g., minor stationery)
Reporting Manager	Rs. 5,001 – Rs. 25,000	—	Standard team-level purchases
VP / Department Head	Rs. 25,001 – Rs. 5,00,000	Up to \$10,000	Departmental tools, mid-size service contracts
CEO + CFO (Joint Approval)	Above Rs. 10,00,000	—	Major CapEx, strategic vendor contracts
VP / Director (USD spend)	—	\$10,000 and above	Cross-border SaaS, overseas consulting, import equipment

Note: Where a purchase falls between Rs. 5,00,000 and Rs. 10,00,000, VP/Department Head approval is required AND Finance must countersign before PO issuance. Purchases above Rs. 10,00,000 always require joint CEO + CFO sign-off regardless of department or category, including CapEx.

Currency conversion rule: For mixed-currency purchases, the approval threshold is determined by the INR-equivalent value at the time of requisition, using the Finance team's daily reference exchange rate, unless the purchase is natively invoiced in USD by an overseas vendor, in which case the USD threshold column applies directly.

4. Step-by-Step Procurement Flow

All procurement requests, regardless of category or value, follow the same core workflow stages. The depth of review at each stage scales with the approval tier required.

#	Stage	Description	Owner
1	Requisition Raised	Requester submits a Purchase Requisition (PR) via the Procurement Portal specifying category, business justification, estimated cost, and preferred vendor (if any).	Requesting Employee
2	Budget Validation	Finance validates the requisition against the department's approved budget for the current quarter. Out-of-budget requests are flagged for additional review.	Finance
3	Approval Routing	PR is routed automatically to the correct approver(s) based on the thresholds in Section 3. Multi-level approval is sequential, not parallel.	System / Approver(s)
4	Vendor Selection	For new vendors, onboarding per Section 5 is triggered. For existing approved vendors, Procurement requests updated quotation if rate validity has expired.	Procurement
5	Quotation & Comparison	For purchases above Rs. 1,00,000, a minimum of 3 vendor quotations must be obtained and compared on a Comparative Statement before PO issuance.	Procurement
6	PO Issuance	Procurement issues a formal Purchase Order referencing the approved PR, agreed commercial terms, and delivery timeline.	Procurement
7	Goods/Service Receipt	Requester confirms receipt and acceptance (GRN) within 3 business days of delivery/completion. Discrepancies are reported immediately.	Requesting Department
8	Invoice Processing & Payment	Finance matches invoice to PO and GRN (3-way match) before releasing payment per agreed vendor payment terms (standard: Net 30).	Finance / Accounts Payable
9	Asset Tagging (if applicable)	IT or Admin tags and registers any capital or trackable asset in the Asset Register within 5 business days of receipt.	IT Asset Mgmt / Admin

5. Vendor Onboarding

Any vendor not already present in the Approved Vendor Master must complete onboarding before a Purchase Order can be issued in their name. This process is mandatory regardless of purchase value, including emergency procurement (see Section 6).

5.1 Required Documentation

- PAN card and GST registration certificate
- Company incorporation certificate or proprietorship/partnership proof, as applicable

- Bank account proof (cancelled cheque or bank letter) for payment processing
- Signed Non-Disclosure Agreement (NDA), where the engagement involves confidential data
- MSME registration certificate, if applicable (for preferential payment terms)
- For overseas vendors: W-8BEN/W-8BEN-E (or local equivalent) and bank wire details (SWIFT/IBAN)

5.2 Onboarding Steps

- Requesting department submits the New Vendor Request Form along with supporting documents
- Procurement performs basic due diligence (GST validity check, blacklist/sanctions screening)
- Finance reviews payment terms and tax applicability (TDS/GST reverse charge, if relevant)
- Vendor is added to the Approved Vendor Master with a unique Vendor ID
- For services above Rs. 5,00,000 annually, a Master Service Agreement (MSA) is mandatory before any PO is raised

Turnaround time: Standard vendor onboarding takes 5–7 business days. Expedited onboarding (3 business days) is available for vendors tied to emergency procurement, subject to VP approval.

6. Emergency Procurement

Emergency procurement applies when a delay in purchase would cause material business disruption (e.g., production outage requiring immediate hardware replacement, critical client deliverable at risk). It is not a substitute for poor planning and is subject to retrospective review.

6.1 Conditions for Use

- Demonstrable business-critical urgency with documented impact if not actioned within 24–48 hours
- No reasonably available substitute through existing inventory or approved vendor stock
- Verbal or email approval obtained from the relevant approver per Section 3 thresholds before purchase, with formal PR filed retrospectively within 48 hours

6.2 Emergency Process

- Requester contacts Procurement Duty Desk directly (phone/email) rather than filing a standard PR
- Verbal approval from the appropriate approver is obtained and documented in writing (email confirmation suffices) before the purchase is made
- Purchase is made via existing approved vendor wherever possible; new vendor onboarding is expedited per Section 5.2 only if unavoidable
- Formal PR, GRN, and invoice documentation are completed within 48 hours of the purchase, with "EMERGENCY" flagged in the Procurement Portal for audit visibility

Emergency procurement above Rs. 1,00,000 still requires the standard approval tier sign-off — urgency does not waive the approval threshold, only the sequencing of documentation.

7. Standard Procurement Cycle Timeline

Timeframe	Activity
Day 0	Requisition submitted and routed for budget validation

Timeframe	Activity
Day 1–2	Budget validation and approval routing (single approver)
Day 1–4	Approval routing for multi-level approvals (Manager → VP → CEO/CFO)
Day 2–5	Vendor quotation collection (for purchases requiring comparative quotes)
Day 5–6	Comparative statement review and PO issuance
Day 6 onward	Delivery per vendor lead time; varies by category
Within 3 days of delivery	Goods Receipt Note (GRN) confirmation by requester
Within Net 30 of invoice	Payment processing by Finance

8. Non-Compliance Consequences

Procurement made outside this SOP — including unauthorized vendor engagement, threshold circumvention, or retroactive PO creation without valid emergency justification — is treated as a policy violation.

Violation Type	Consequence
First instance (process gap, no financial loss)	Written notice to employee and manager; mandatory SOP refresher
Repeated instances or threshold circumvention	Formal escalation to department VP and HR; documented in performance record
Unauthorized vendor payment or conflict of interest	Escalation to CFO and Internal Audit; potential disciplinary action per HR Conduct Policy
Fraudulent invoicing or collusion with vendor	Immediate suspension pending investigation; matter referred to Legal and, where applicable, law enforcement

9. Controls and Audit Notes

- Purchase requisitions may not be split into multiple smaller POs to stay under an approval threshold; this is treated as deliberate circumvention under Section 8
- All POs, GRNs, and invoices are retained for a minimum of 8 years per statutory requirement
- Internal Audit reviews a random sample of procurement transactions quarterly, with focused review on emergency procurement and single-vendor (non-competitive) purchases
- Procurement team maintains a conflict-of-interest declaration for all staff with PO approval authority, refreshed annually

10. Contact Directory

Contact Point	Team	Email	Phone	Availability
Procurement Helpdesk	Procurement Team	procurement@techcorpindia.com	+91 80 4567 1022	Mon–Fri, 9:30–18:30 IST
Procurement Duty Desk (Emergency)	On-Call Procurement Lead	procurement.emergency@techcorpindia.com	+91 90080 33421	24x7 for business-critical only
Vendor Onboarding	Vendor Master Team	vendor.onboarding@techcorpindia.com	+91 80 4567 1031	Mon–Fri, 9:30–18:00 IST

Contact Point	Team	Email	Phone	Availability
Accounts Payable	Finance — AP Team	accountspayable@techcorpindia.com	+91 80 4567 1045	Mon–Fri, 9:30–18:30 IST
Budget & Approval Queries	FP&A Team	fpna@techcorpindia.com	+91 80 4567 1050	Mon–Fri, 10:00–18:00 IST
Internal Audit	Audit & Compliance	internalaudit@techcorpindia.com	+91 80 4567 1090	Mon–Fri, 9:30–17:30 IST

This SOP is reviewed annually by the Finance & Procurement Department or upon change in statutory tax requirements. Last reviewed: April 2026. Next scheduled review: April 2027.